Amendment of section 44AD.

16. In section 44AD of the Income-tax Act, in the *Explanation*, in clause (*b*), after sub-clause (*ii*), the following provisos shall be inserted with effect from the 1st day of April, 2024, namely:—

'**Provided** that where the amount or aggregate of the amounts received during the previous year, in cash, does not exceed five per cent of the total turnover or gross receipts of such previous year, this sub-clause shall have effect as if for the words "two crore rupees", the words "three crore rupees" had been substituted:

Provided further that for the purposes of the first proviso, the receipt of amount or aggregate of amounts by a cheque drawn on a bank or by a bank draft, which is not account payee, shall be deemed to be the receipt in cash.'.